



U.S. Small Business
Administration

Boots to Business Module 3

Understanding Markets & Your Competitive Space

Version 5.2



U.S. Small Business
Administration



U.S. SMALL BUSINESS ADMINISTRATION
VETERANS BUSINESS OUTREACH CENTER



AMERICA'S
SBDC



SCORE
FOR THE LIFE OF YOUR BUSINESS



ASSOCIATION OF
WOMEN'S BUSINESS CENTERS



INSTITUTE FOR
VETERANS AND
MILITARY FAMILIES
SIRACUSE UNIVERSITY

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Objectives

- Understand how to conduct market research, the importance of market research, and the basics of competitive strategy/analysis.
- Additionally:
 - Understand ways to conduct low-cost customer validation and market research.
 - Understand how to evaluate an industry.

Agenda

- Understanding *Markets vs Industries*
- Market Analysis
- Industry Analysis
- Competitive Strategy
- Marketing Plan
- Government Contracting

The Big Picture

- **Identify Target Market**
 - Conduct market research (size, behavior)
 - Set sales projections
- **Identify Competitive Industry**
 - Analyze key competitors
 - Formulate competitive strategy

Some Quick Distinctions

The Market = Customers

- Customers are the ones that give you the money
- May be different than those that end up using your product (otherwise called End Users)
- Example: Toyota Automotive dealers are Toyota's *customers*, people buying the cars are *end users*

The Industry = Other sellers

- Includes competitors, suppliers, and other support sales companies (distribution, packaging, etc.)

Market Analysis: *Your Objectives*

- Market size
- Demographics
- Geographic
- Trends
- Psychographics



Helps evaluate
Potential customers

Market Analysis: *Key Questions*



Who, very precisely, are the customers?



How strong an incentive do customers have to give you their money? Where is the pain?



What evidence can you provide that the market will grow? Is there sustainable demand?

Market Research

• Secondary Market Research

- Company Annual Reports
- Google (Search Engines)
- News Reports

• Primary Market Research

- Focus Groups
- Interviews
- Surveys
- Blogs

• Test Marketing

- Rapid Prototyping
- Market Product Sampling



Free Market Research Sources

<u>Focus</u>	<u>Goal</u>	<u>Reference</u>
General business statistics	Find statistics on industries, business conditions.	NAICS USA.gov Statistics U.S. Census Business Builder
Consumer statistics	Gain info on potential customers, consumer markets.	Consumer Credit Data Consumer Product Safety
Demographics	Segment the population for targeting customers.	U.S. Census Bureau Bureau of Labor Statistics
Economic indicators	Know unemployment rates, loans granted and more.	Consumer Price Index Bureau of Economic Analysis
Employment statistics	Dig deeper into employment trends for your market.	Employment and Unemployment Statistics

Free Market Research Sources

<u>Focus</u>	<u>Goal</u>	<u>Reference</u>
Income statistics	Pay your employees fair rates based on earnings data.	<u>Earnings by Occupation and Education</u> <u>Income Statistics</u>
Money and interest rates	Keep money by mastering exchange and interest rates.	<u>Daily Interest Rates</u> <u>Money Statistics via Federal Reserve</u>
Production and sales statistics	Understand demand, costs and consumer spending.	<u>Consumer Spending</u> <u>Gross Domestic Product (GDP)</u>
Trade statistics	Track indicators of sales and market performance.	<u>Balance of Payments</u> <u>USA Trade Online</u>
Statistics of specific industries	Use a wealth of federal agency data on industries.	<u>Statistics of U.S. Businesses</u>

Market Research: *An Imperative!*

At the end of the day, research...

- Let's you get to know more about the customer, their wants, their behaviors, and their ability to pay
- Provides you with a chance to update and improve what you already do
- Allows you to have first contact with the customer, so they get to hear about you
- Provides you with more confidence and believability with other stakeholders
- Helps to reduce the overall risk in your business
- And is really the true value of the business plan

Reminder: Your business/industry type will affect your research methods

Industry Analysis: *Your Objectives*

- Key Players
- Growth
- Trends
- Competitors

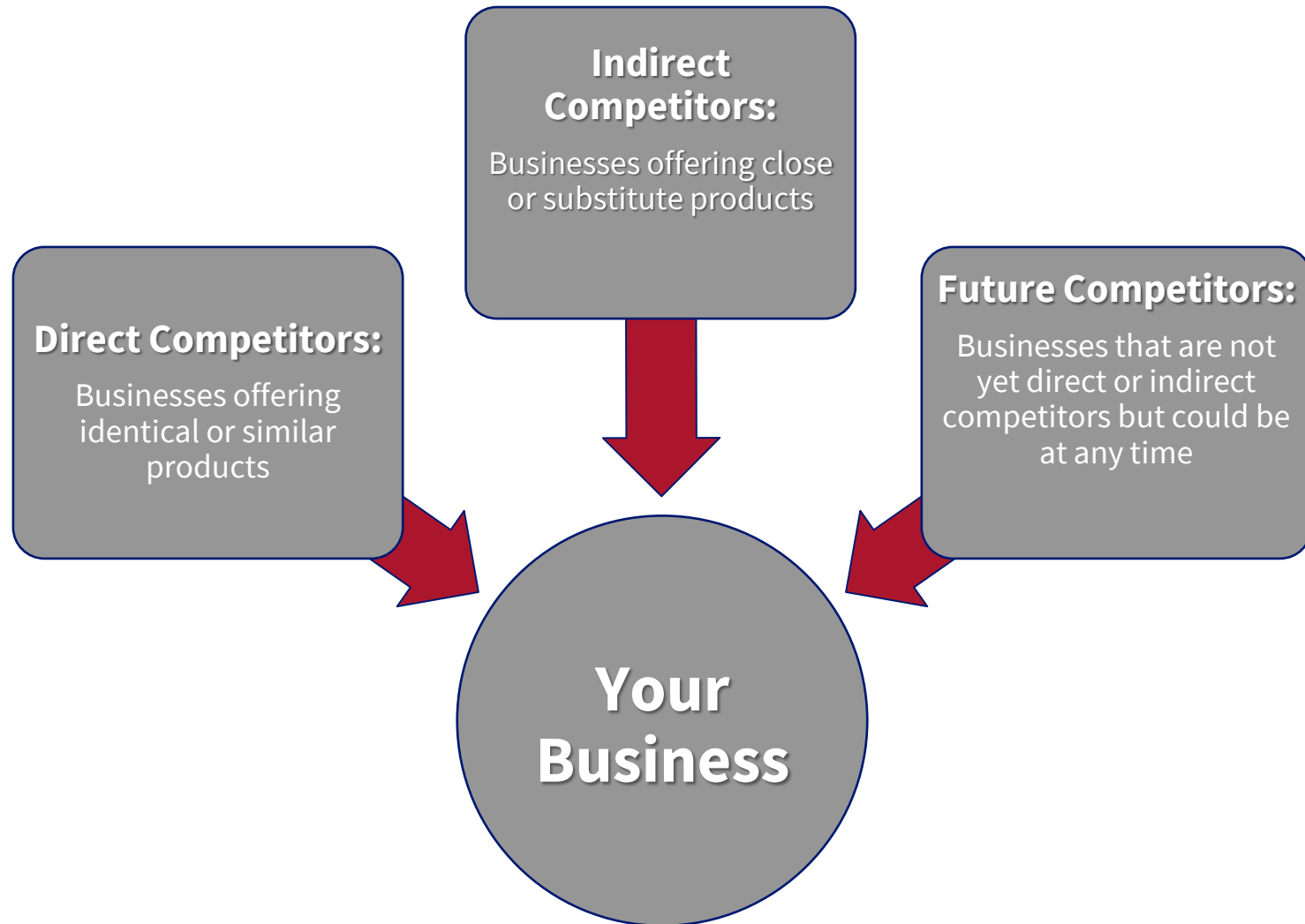


Helps evaluate
**Industry
Attractiveness**

Broad Vs. Narrow

- *Broad focus* – broad market niche. Larger customer base.
- *Narrow focus* – small but more active customer base. Has very specific needs.

Types of Competitors



Government Contracting



What if your target customer is ME?

Government Contracting

WORLD'S
LARGEST
BUYER



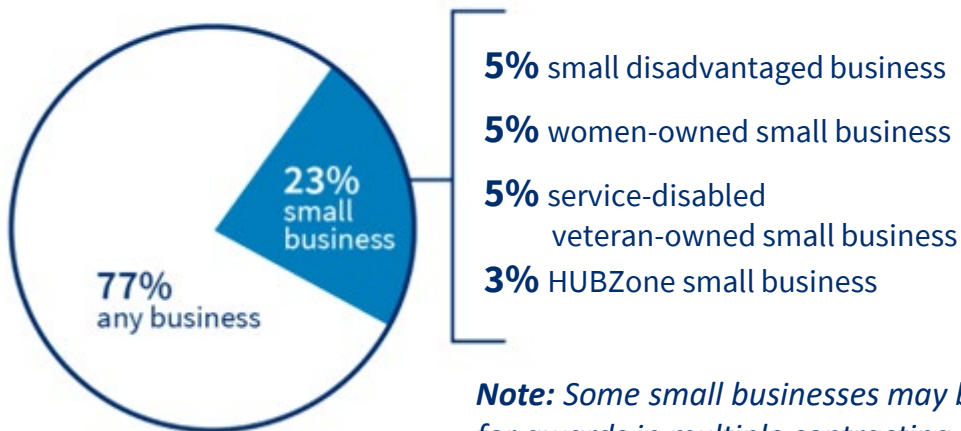
- **\$600 billion/year**
- **23% of federal contract dollars are intended for small businesses**

Full and Open Competition

Small Business Set-Asides

Sole Source

Total federal contracting dollars



***Note:** Some small businesses may be eligible for awards in multiple contracting categories*

Government Contracting

Research Your Market



Know what
agencies
buy your
**products and
services**



**Find your
niche,**
competition is
fierce



Understand
areas of
**government
spending**



Know your
competition
and their
contracts

Government Contracting

APEX Accelerators (formerly Procurement Technical Assistance Centers)

- Government contract assistance
- Consulting and workshops
- Information and resources



Marketing Resources

- [System for Award Management \(sam.gov\)](https://sam.gov)
- [Dynamic Small Business Search System](#)



Other Resources

- [USASpending](#)
- [GSA Subcontracting Directory](#)
- DoD Prime Contracting Directory



Remember...

...It's all about the Customers

- Customers create *market driven opportunities*
- It doesn't matter what anyone thinks about your concept except customers
 - If they don't care, no one will buy your product
- Good quality market research includes gathering information from customers
- Customers can help you refine and perfect your business concept and business model

Key Takeaways

- Analyzing the market will help you determine who is most likely to buy your product or service, and also allows you to determine if there is a sustainable demand
- Analyzing industry is an important part of understanding the attractiveness of your opportunity
- Consider the key factors that you need to examine to really understand the industry as well as competitors
- An outcome of this process is to arrive at a competitive strategy that leverages the inherent value of your concept

Filling In YOUR Business Model Canvas...

KEY PARTNERS

Who are your key partners?

KEY ACTIVITIES

What are the activities you perform every day to deliver your value proposition?

VALUE PROPOSITION

What is the value you deliver to your customer? What is the customer need that your value proposition addresses?

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adipiscing elit, sed do
eiusmod tempor
incidunt ut labore et
dolore magna aliqua.*

CUSTOMER RELATIONSHIPS

What relationship does each customer segment expect you to establish and maintain?

CUSTOMER SEGMENTS

Who are your customers?

KEY RESOURCES

What are the resources you need to deliver your value proposition?

CHANNELS

How do your customer segments want to be reached?

COST STRUCTURE

What are the important costs you make to deliver the value proposition?

REVENUE STREAMS

How do customers reward you for the value you provide to them?



Fill in this section of BMC in student workbook



You completed in an earlier module

Questions, Discussion